**VISION** *To set the standard for accurate, safe and transparent fuel retail across Nigeria.*





BUSINESS PLAN

# CLEON

## Oil and Gas Business Plan

Downstream Energy Retail and Station Services

NIGERIA | SINCE OCTOBER 2025 | RC 8817624

**MISSION**

To deliver high-quality white products (PMS, AGO) and clean energy solutions (LPG, CNG) through an optimized network of leased and managed retail forecourts across strategic urban and commercial corridors.

**MODEL**

Multi-site downstream retail, third-party station management, and non-fuel retail (NFR) optimization.

CONFIDENTIAL. This document is intended for the named recipient only. It is a business framework and does not state site-specific revenue forecasts or funding amounts, which will be provided once site, contract, supplier, capacity and sales inputs are confirmed.

# 1. Executive Summary

CLEON Oil & Gas began operations in October 2025 and is building a flexible Nigerian downstream energy business around leased and managed retail forecourts. The company sells PMS and AGO, provides daily station management for owners, and develops suitable non-fuel retail (NFR) hubs. LPG and CNG are planned as later services after demand, investment, technical readiness, and required approvals are confirmed.

CLEON's advantage is a practical operating model supported by its station management application. The application brings sales, stock, pump sessions, deliveries, expenses, payments, and reporting into one working record. It helps managers review daily performance and investigate differences while keeping procedures simple enough for a resource-constrained station environment.

Operations began in October 2025, and CLEON's pilot project is underway in Kafanchan, Kaduna State. The pilot's operating records and lessons will guide procedure development and selection of the next site. CLEON will continue to use the existing site-screening and financial-planning frameworks as it assesses expansion, with site-level forecasts based on reconciled records and confirmed agreements.

## Business at a glance

| Focus | CLEON's approach |
|---|---|
| Products | PMS and AGO retail; LPG and CNG as later, feasibility-led additions. |
| Customers | Motorists, commercial drivers, fleets, nearby businesses, station owners and property managers. |
| Operating model | Lease and operate, operate under a written marketer supply/brand agreement, or manage a third-party station. |
| Revenue | Fuel margin, management fees and performance bonuses, NFR sales or concessions, and future clean-energy services. |
| Entry strategy | Business commenced in October 2025; the Kafanchan pilot informs procedures and next-site selection. |
| Differentiator | Station operations application that joins sales, stock, deliveries, cash and reporting in one record. |
| Funding status | Amount to be confirmed once site, supplier quotations, contract terms and staffing plan are fixed. |



### Why this business, why now

- Steady underlying demand. Petrol and diesel remain essential for road transport, commerce, and backup power across Nigerian towns and cities.
- Uneven retail standards. Many forecourts struggle with stock losses, weak cash control, inconsistent service, and poor record keeping. Disciplined operators can stand out.
- Owners need operators. Station owners and estate administrators often want professional management without giving up ownership. This supports an asset-light management service.
- Clean energy optionality. LPG and CNG offer a future growth path, but are held back until feasibility, safety and approvals are confirmed.
- Lower-risk expansion. A staged, gate-based approach limits capital at risk while proving each step.

### Strategic objectives

- Use the active Kafanchan pilot to refine operating procedures and commercial controls before selecting the next site.
- Achieve daily application-supported reconciliation of sales, stock, cash and POS from the first week of trading.
- Establish reliable supply terms and a clear pricing, credit and quality arrangement with at least one supplier or marketer.
- Win at least one third-party management mandate with defined scope, fees and performance measures.
- Validate NFR demand at the pilot before committing capital to larger NFR hubs.
- Complete a separate LPG/CNG feasibility case before any clean-energy investment decision.

Numerical targets will be reviewed against the Kafanchan pilot baseline as operating records mature.

## 2. Company Overview

| Item | Detail |
|---|---|
| Company | CLEON Oil & Gas |
| Registration | RC 8817624, Nigeria |
| Sector | Downstream oil and gas: retail forecourts, station management, non-fuel retail, future LPG/CNG |
| Plan date | September 2026 |
| Directors and shareholders | To be inserted by management |
| Registered address and contacts | To be inserted by management |

### Vision

To become a trusted Nigerian forecourt operator known for accurate dispensing, dependable supply, safe sites and transparent reporting, growing from the Kafanchan pilot into a network of well-run, well-controlled sites.

**Mission**

To deliver high-quality white products (PMS, AGO) and clean energy solutions (LPG, CNG) through an optimized network of leased and managed retail forecourts across strategic urban and commercial corridors.

### Business model

Multi-site downstream retail, third-party station management, and non-fuel retail (NFR) optimization, supported by a station operations application that gives managers and owners one working record of each site.



### Core values

| Value | What it means in practice |
|---|---|
| Integrity | Honest measures, accurate dispensing, fair pricing and transparent reporting to owners and partners. |
| Safety | Safe handling of fuel, trained staff, suitable PPE, maintained equipment and prompt reporting of faults and spills. |
| Discipline | Simple written procedures, daily checks and investigated variances, not guesswork or memory. |
| Service | Product availability, clean forecourts, courteous staff and convenient hours. |
| Responsibility | Compliance with licensing, environmental and tax obligations, and care for host communities. |

## 3. Products and Services

| Service | What CLEON provides | Revenue basis |
|---|---|---|
| PMS and AGO retail | Reliable forecourt sales, customer service, stock and shift controls. | Gross margin per litre, subject to supply and operating terms. |
| Station operations | Staffing, daily supervision, sales and stock reporting, cash/POS reconciliation, and routine coordination. | Operating margin at leased sites or agreed management fee. |
| NFR hub | Convenience products, lubricants, food and beverages, vehicle services or third-party concessions suited to each site. | Retail margin, concession rent or agreed revenue share. |
| LPG and CNG | Potential clean-energy retail where site, demand, capital, technical controls and approvals support it. | To be assessed through a separate feasibility case. |

### Service standards

- Product always checked against delivery documents, tank capacity and readings before unloading and sale.
- Pumps checked for accurate dispensing, with calibration handled by qualified technicians.
- Clean forecourt, visible price display, and safe vehicle flow at all times.
- Courteous, identifiable staff and a simple route for customer complaints.
- Convenient opening hours matched to local traffic patterns.

### NFR development approach

NFR will be introduced in steps. The pilot will test basic convenience, lubricant and food-and-beverage demand and measure sales per customer visit before any larger hub is built. Where space allows, third-party concessions (for example food outlets, ATM or payment points, vehicle services) can bring rent or revenue share with limited capital from CLEON.

### LPG and CNG pathway

Clean-energy retail is deliberately later-stage. Before any investment, CLEON will complete a separate feasibility case covering local demand, site suitability and safety distances, equipment cost, supply source, technical controls, trained personnel, required approvals, and expected payback.

## 4. Operating Models

| Model | Structure and commercial logic |
|---|---|
| A Independent lease and operation | Lease an existing station, secure the required supply and permits, and control day-to-day retail under the lease. Higher control requires working capital and clear repair responsibilities. |
| B Marketer supply or brand arrangement | Agree supply, branding, credit or commercial support with a major marketer where available. The written contract will define stock ownership, pricing authority, quality, fees and obligations. |
| C Third-party station management | Operate an owner's station under a facility-management agreement. Earn a fixed fee and, where agreed, a performance bonus linked to measurable throughput or NFR targets. |



### Comparing the models

| | A Lease and operate | B Marketer supply | C Management |
|---|---|---|---|
| Control | Highest | Shared with marketer | Defined by agreement |
| Capital need | Highest: deposit, repairs, stock, working capital | Medium: depends on credit and branding terms | Lowest: mainly people and systems |
| Margin potential | Full fuel and NFR margin | Margin shaped by supplier terms | Fixed fee plus bonus |
| Main risks | Price swings, supply, repairs, cash losses | Contract limits on pricing and stock | Owner disputes, unclear scope |

### Key terms to settle in every agreement

- Ownership of stock at each point, and who bears losses from shortage, contamination or theft.
- Who sets selling prices and how changes are communicated and recorded.
- Repair and maintenance responsibility, including tanks, pumps, electrical and safety equipment.
- Fees, bonus formula, payment dates, reporting schedule, approval limits and audit rights.
- Term, renewal, termination, handover of stock and records, and dispute resolution.
- Insurance, indemnities and licence responsibilities.

## 5. Customers and Market Position

CLEON will focus on strategic urban and commercial corridors where traffic, safe access, customer demand, supply routes, and station condition support sustainable operation. Target customers include private motorists, transport operators, fleet users, nearby businesses, and communities around each station. Station owners and estate administrators are customers for CLEON's management service.

### Target segments

| Segment | What they value | How CLEON serves them |
|---|---|---|
| Private motorists | Accurate volumes, queue speed, clean and safe forecourt | Calibrated pumps, trained attendants, clear pricing |
| Commercial and transport operators | Reliable availability of AGO and PMS, convenient timing | Stock monitoring, low-stock alerts, extended hours |
| Fleets and nearby businesses | Credit control, records, predictable supply | Account records and statements, agreed purchase terms |
| Station owners and estate managers | Transparency, reliable remittance, protection of the asset | Scoped management agreement, regular reports, performance measures |

### Competitive approach

The company will compete through dependable product availability, clean and orderly forecourts, accurate dispensing, convenient hours, courteous service, and clear reporting. CLEON will compete with major marketer-branded stations, independent operators and informal sellers. It will not compete on price alone; it will compete on reliability, honesty of measure and control of its operation.

### Site selection

Site selection will include inspection of title and operating rights, equipment, tank and pump condition, repairs, competition, supply access, and realistic sales potential before a contract is signed.

| Criterion | What to verify |
|---|---|
| Title and operating rights | Ownership, lease validity, existing permits, outstanding disputes or liabilities. |
| Traffic and access | Vehicle count by time of day, entry and exit safety, visibility, and proximity to commercial or transport activity. |



| Criterion | What to verify |
|---|---|
| Equipment condition | Tanks, pumps, dispensers, pipework, canopy, electrical and fire equipment; repair cost estimate. |
| Competition | Nearby stations, their pricing, service level and queue patterns. |
| Supply access | Depot distance, delivery route, delivery size and reliability of supplier. |
| Environment and community | Spill history, drainage, neighbouring buildings and community relations. |
| Security and utilities | Power, water, lighting, security arrangements and connectivity. |

### SWOT summary

| | Assessment |
|---|---|
| Strengths | Flexible operating models; Kafanchan pilot experience; application-supported controls; staged expansion; focus on accuracy and reporting. |
| Weaknesses | Small initial scale; pilot records and reconciliations need to mature; application currently local and desktop-based; expansion funding not yet confirmed. |
| Opportunities | Owners seeking professional management; NFR income; fleet and commercial accounts; later LPG and CNG. |
| Threats | Price and supply volatility; competition from established brands; regulatory change; cash and stock losses; safety incidents. |

Market size data, local price benchmarks and corridor traffic counts will be added from authoritative sources and site surveys once the target corridor is chosen.

## 6. Technology and Operating Advantage

CLEON has developed a station operations application for the work its forecourts need to control. It records tanks, pumps, attendants, pump sessions, fuel receipts, dips, return-to-tank (RTT) volumes, expenses, account movements and selling prices. The dashboard summarizes stock, sales and activity, flags low tank stock, and provides visual stock levels. This connects daily station records that can otherwise be spread across notebooks and separate sheets.

- Stock and sales review: compare recorded receipts, pump sales, dips and current tank balances; investigate variances rather than rely on memory.
- Commercial control: manage selling prices by product and date, use receipt-cost layers for FIFO cost of goods sold, and prepare gross-profit and net-profit reports from recorded data.
- Payment visibility: record cash, POS, deposits, transfers and account balances, then reconcile them against station activity.
- Management reporting: produce Excel, PDF and CSV exports, including branded report formats for internal review and owner reporting.

The application is designed to support practical oversight, not to replace trained staff, physical checks, qualified maintenance, or regulatory compliance. The current desktop system stores data locally. The starter web portal is a private read-only preview and does not yet synchronize securely across internet-connected devices. Remote multi-site access should follow only after a secure shared service, permissions, audit history, backup plan and reliable connectivity have been implemented.

### Technology roadmap

| Stage | Capability | Condition to proceed |
|---|---|---|
| Current | Local desktop application for a single station; exports to Excel, PDF and CSV; read-only web preview. | In use at the pilot station. |
| Next | Regular backups, user roles, and an audit trail of edits and approvals. | Stable pilot operation and agreed backup procedure. |
| Later | Secure shared service with remote multi-site access, owner views and alerts. | Secure hosting, permissions, audit history, backup plan and reliable connectivity in place. |



### Data protection and continuity

- Scheduled backups to a second location, with a tested restore procedure.
- Named user accounts and limited permissions by role (attendant, cashier, supervisor, manager, owner).
- Paper fallback procedures for power or connectivity interruptions, entered into the system once service returns.
- Customer and account data handled in line with Nigerian data protection requirements.

## 7. Operations, People and Safety

Each site will use simple written procedures that remain workable during power or connectivity interruptions. The station manager will check shift sales, meter readings, cash and POS records, deliveries, dips and recorded variances. Staff will inspect accessible forecourt equipment, keep the site clean, report spills or faults promptly, and use suitable PPE for assigned work. Delivery quantities and product will be checked against documents, tank capacity and readings before unloading and sale.

The operations manager will coordinate staffing, suppliers, costs, stock reporting and service standards. Attendants will dispense and serve customers; a supervisor or cashier will reconcile payments and handovers. Qualified technicians will handle specialist pump, tank, electrical, calibration and leak-related work. CLEON will confirm current site-specific licensing, safety and environmental obligations with the relevant Nigerian authorities and competent advisers for the Kafanchan pilot, and before each additional site opens.

### Roles and responsibilities

| Role | Main responsibilities |
|---|---|
| Operations manager | Staffing, suppliers, cost control, stock reporting, service standards, owner reporting. |
| Station manager | Daily oversight; review of shift sales, meters, cash, POS, deliveries, dips and variances; safety walk-rounds. |
| Supervisor / cashier | Payment reconciliation, shift handovers, cash banking, account records. |
| Attendants | Dispensing, customer service, forecourt cleanliness, hazard reporting. |
| Qualified technicians (contracted) | Pump, tank, electrical, calibration and leak-related work. |

### Daily control cycle

| Time | Key controls |
|---|---|
| Before opening | Record opening meters and tank dips; check forecourt, pumps, fire equipment and prices displayed. |
| During shift | Record pump sessions; log deliveries after checking documents, tank capacity and readings; log expenses and account sales. |
| End of shift | Record closing meters and dips; reconcile cash, POS and transfers; handover signed by outgoing and incoming staff. |
| Next business day | Manager reviews variances, investigates differences, approves expenses, banks cash, and issues the daily report. |

### Written procedures to be in place at opening

- Product receipt and unloading, including document, quantity and quality checks.
- Tank dipping, meter reading and variance investigation.
- Cash handling, POS settlement, banking and handover.
- Price change and approval procedure.
- Spill response, fire response and emergency contacts.
- Customer complaint handling.
- Staff attendance, shift rotation and disciplinary process.



### Staffing and training

Recruitment will favor experienced forecourt staff and be followed by induction covering safety, dispensing accuracy, cash control, customer service, and use of the application. Refresher training will be repeated at set intervals and after any significant incident.

### Health, safety and environment

- No ignition sources, smoking or unsafe mobile phone use in hazardous areas.
- Suitable PPE for assigned work and regular checks of fire extinguishers and emergency stops.
- Spill kits, drainage checks, and safe waste handling.
- Incident and near-miss recording, with review by management.
- Security arrangements for staff, cash and product.
- Insurance cover appropriate to the site and operating model.

## 8. Regulatory, Licensing and Compliance

Requirements differ by site, product and operating model and change over time. CLEON will confirm current obligations with the relevant authorities and competent advisers for the operating Kafanchan pilot and before each additional site opens. The following checklist shows the areas to be confirmed; it is not legal advice.

| Area | Purpose | Status |
|---|---|---|
| Company and tax registration | Corporate standing, tax registration and filings. | To be confirmed |
| Downstream regulator approvals | Authority to establish, operate or take over a retail outlet and sell products; renewals. | To be confirmed |
| Environmental approvals | Federal and state environmental requirements, including spill and waste handling. | To be confirmed |
| Fire and safety certification | Fire safety, emergency equipment and inspections. | To be confirmed |
| State and local permits | Planning, signage, local government levies. | To be confirmed |
| Pump calibration and measures | Accuracy of dispensing and any required calibration certificates. | To be confirmed |
| Supplier and brand authorisations | Written supply or brand agreement where applicable. | To be confirmed |
| Insurance | Property, public liability, product, cash and employee cover. | To be confirmed |
| Employment compliance | Contracts, pension, insurance and statutory deductions. | To be confirmed |
| LPG / CNG approvals (later) | Separate safety, siting and technical approvals. | Not before feasibility |

## 9. Go-to-Market and Implementation

| Stage | Priority actions |
|---|---|
| Prepare | Choose a target corridor and operating model; screen the site, confirm ownership and obligations, obtain supplier terms, verify approvals, and prepare a site budget. |
| Launch pilot | Complete agreed readiness work, set up staffing and safety procedures, record opening stock and account balances, and begin daily application-supported reconciliation. |
| Stabilize | Review sales, margin, stock differences, supply reliability, cash/POS variances, expenses, complaints and equipment downtime; correct problems and test suitable NFR demand. |
| Expand carefully | Replicate the model that performs reliably. Add locations or LPG/CNG only when funding, management capacity, supply, technical readiness and approvals are sufficient. |



### Stage gates

| Gate | Conditions to pass |
|---|---|
| Prepare to Pilot | Site and contract confirmed; supply terms agreed; approvals verified; budget and funding in place; staff recruited and trained. |
| Pilot to Stabilize | Daily reconciliation running; no unexplained recurring variances; safe operation; supply reliable. |
| Stabilize to Expand | Consistent margin and variance results over an agreed review period; controls working without constant manager intervention; funding and people available for the next site. |

### Business development

Business development will combine site-owner discussions, supplier and marketer relationships, fleet and nearby business outreach, visible station branding where permitted, and service quality. Managed-station proposals will show owners a clear scope, approval limits, reporting schedule, fee structure and performance measures.

- Site owners and estate managers: direct meetings and a standard management proposal.
- Suppliers and marketers: early discussions on supply, credit, quality and branding terms.
- Fleets and businesses: account offers with statements and agreed credit limits.
- Local presence: clear signage, community engagement and consistent service quality.

## 10. Risk Management

| Risk | Impact | Mitigation |
|---|---|---|
| Price volatility | Margin squeeze or inventory loss | Price by product and date; replenish in sensible batches; monitor cost layers; review price positions regularly. |
| Supply disruption | Stock-outs and lost sales | More than one supply source where possible; low-stock alerts; agreed delivery schedules. |
| Product quality or short delivery | Customer complaints and losses | Check documents, capacity and readings before unloading; test product; record disputes. |
| Cash and stock losses | Direct profit leakage | Daily reconciliation; segregation of duties; variance investigation; periodic surprise checks. |
| Fire, spill or safety incident | Injury, closure, liability | Trained staff, PPE, maintained equipment, emergency procedures, insurance. |
| Regulatory change or delay | Delayed opening or penalties | Confirm obligations early; use competent advisers; maintain compliance calendar. |
| Contract disputes | Loss of site or fees | Clear written terms; defined approvals and reporting; legal review. |
| Power or connectivity failure | Interrupted sales and records | Written fallback procedures; backup power; backup of data. |
| Technology data loss | Loss of records | Scheduled backups; tested restore; staged move to secure shared service. |
| Security | Theft, harm to staff | Security arrangements, cash handling limits, lighting, staff training. |
| Funding shortfall | Delay or incomplete readiness | Fund only confirmed sites; hold working capital buffer; expand only after gates. |



# 11. Financial Logic and Funding Needs

CLEON's station-level forecast will show revenue and costs separately for each product and service. Fuel gross profit is based on litres sold and the actual selling-price less cost-price spread, adjusted for the supply and operating agreement. Net profit is gross profit less recorded operating expenses. Management fees, performance bonuses and NFR income will be shown as separate lines. Tax and profit after tax will be calculated from confirmed assumptions with professional accounting advice.

Start-up funding may cover lease deposits, legal and site inspections, repairs, safety equipment, opening fuel and NFR stock, staff recruitment and training, utilities, security, technology, and working capital. CLEON will use the Kafanchan pilot's setup expense statements, sales and stock records, product receipts, supplier payments and operating costs to establish evidence-based assumptions for the next site. These records will be reconciled before they are translated into projections. The existing site-selection, regional cost-comparison and forecast templates are retained; calibrate them from pilot actuals and verify each new site's conditions before a commitment.

## Station forecast structure

| Line | Basis |
|---|---|
| PMS gross profit | Litres sold multiplied by (selling price minus cost price), adjusted for supply terms. |
| AGO gross profit | Litres sold multiplied by (selling price minus cost price), adjusted for supply terms. |
| NFR income | Retail margin, concession rent or revenue share. |
| Management fees and bonuses | Fixed fee plus agreed performance bonus under facility-management agreements. |
| Operating expenses | Staff, utilities, security, repairs, insurance, lease, licences, transport, technology. |
| Net profit | Gross profit and other income less recorded operating expenses; tax calculated separately. |

## Use of start-up funds

| Category | Typical content | Amount |
|---|---|---|
| Lease and deposits | Lease payments, deposits, legal fees. | To be confirmed |
| Site inspection and repairs | Surveys, tank and pump checks, civil and electrical work. | To be confirmed |
| Safety and compliance | Fire equipment, PPE, permits, signage, insurance. | To be confirmed |
| Opening stock | Initial fuel, NFR and lubricant stock. | To be confirmed |
| People | Recruitment, training, initial payroll. | To be confirmed |
| Technology | Hardware, POS devices, backup and connectivity. | To be confirmed |
| Working capital | Buffer for supply payments, expenses, and slow-paying accounts. | To be confirmed |
| Contingency | Reserve for unexpected cost. | To be confirmed |

## Planning cases

| Case | Purpose |
|---|---|
| Conservative | Lower throughput, tighter margin and higher cost; tests whether the site can survive a slow start. |
| Expected | Most likely throughput, margin and cost; basis for the funding request. |
| Higher-sales | Stronger throughput and NFR performance; shows upside and capacity needs. |



# Location-Based Start-up Capital Scenarios

Planning basis: The minimum opening-stock allowance is 15,000 litres, priced at about ₦1,370 per litre plus a provisional delivery allowance. The ranges cover preliminary setup, first-year occupancy and the minimum opening stock only; they exclude ongoing payroll, utilities, operating reserves, major reconstruction and NFR investment. Setup and occupancy ranges are screening allowances informed by the Kafanchan pilot and the existing cost framework, not supplier quotations or approved budgets. Confirm property terms, tank and pump condition, repairs, safety work, statutory requirements and actual delivered product price for each site before approval. A management contract may reduce property costs; actual requirements depend on the owner agreement and site condition.

| Priority location | Indicative property strategy | Setup and first-year occupancy allowance | 15 kL opening stock and delivery allowance | Indicative setup + opening-stock range |
|---|---|---|---|---|
| Bauchi | Lease or management contract | ₦6m–₦10m | ₦20.8m–₦21.0m | ₦26.8m–₦31.0m |
| Gombe | Lease or management contract | ₦6m–₦10m | ₦20.8m–₦21.0m | ₦26.8m–₦31.0m |
| Jos | Lease or management contract | ₦6m–₦11m | ₦20.8m–₦21.0m | ₦26.8m–₦32.0m |
| Kaduna | Lease or management contract | ₦7m–₦12m | ₦20.8m–₦21.0m | ₦27.8m–₦33.0m |
| Katsina | Lease or management contract | ₦6m–₦10m | ₦20.8m–₦21.0m | ₦26.8m–₦31.0m |
| Kano | Lease or management contract | ₦7m–₦12m | ₦20.8m–₦21.0m | ₦27.8m–₦33.0m |
| Keffi / Nasarawa | Lease or management contract | ₦7m–₦11m | ₦20.8m–₦21.0m | ₦27.8m–₦32.0m |
| Abuja | Management contract or lease | ₦8m–₦15m | ₦20.8m–₦21.0m | ₦28.8m–₦36.0m |

Additional states under consideration: Zamfara, Jigawa, Kebbi, Benue and Niger, subject to site screening, operating feasibility and commercial terms.

# Pilot-Based Cost Planning and Site Validation

| Cost category | Kafanchan pilot evidence to reconcile | Next-site estimate basis | Validation before commitment | Decision owner |
|---|---|---|---|---|
| Lease and occupancy | Executed lease, deposit, rent schedule and service charges | Site-specific lease or management agreement | Confirm owner, term, deposit, renewal and repair obligations | Management / legal |
| Repairs and forecourt works | Invoices, receipts, work scope and completion records | Condition survey and itemized contractor quotes | Inspect tanks, pumps, canopy, electrical and drainage | Operations / technical |
| Power and equipment | Solar/equipment receipts and working-condition records | Capacity assessment and comparable written quotations | Confirm load, warranty, installation and maintenance | Operations / technical |
| Regulatory and safety | Permits, fees, inspection records and corrective actions | Current site-specific requirements and official fee evidence | Confirm with competent authorities/advisers before opening | Compliance lead |
| Opening stock and delivery | Product receipts, supplier invoices, quantities and payments | Minimum 15,000 litres at confirmed delivered price, plus delivery charge | Reconcile price, quantity, capacity, payment and delivery charge | Supply / finance |
| Staffing and operating cash | Payroll, utilities, security and recurring expense records | Staff plan and monthly operating budget for each location | Validate local wage, utility, security and shift requirements | Operations / finance |
| Reconciliation and reserves | Daily sales, stock variance, POS, cash and transfer records | Use reconciled pilot trends; include explicit contingency | Review a full operating cycle and resolve material differences | Finance / management |

For each case, CLEON will also test sensitivity to selling price, cost price, litres sold, supply interruptions, and operating costs.



# 12. Performance Measures and Governance

| Measure | How measured | Frequency | Target |
|---|---|---|---|
| Litres sold by product | Pump sessions and meter readings | Daily | After baseline |
| Stock variance | Dip compared with book stock, as share of throughput | Daily | After baseline |
| Cash and POS variance | Reconciliation against recorded sales | Daily | After baseline |
| Gross margin per litre | Selling price less cost layers | Weekly | After baseline |
| Operating expense ratio | Recorded expenses against sales | Monthly | After baseline |
| Stock-out time | Hours with product unavailable | Weekly | After baseline |
| Customer complaints | Complaint log and resolution time | Monthly | After baseline |
| Safety incidents and near-misses | Incident register | Monthly | Zero lost-time |
| NFR sales | Sales per day and share of revenue | Monthly | After baseline |
| Report timeliness | Daily and owner reports on time | Monthly | After baseline |

## Governance and reporting

- Daily station report to the operations manager.
- Weekly review of margin, stock differences, supply and cash variances.
- Monthly management report with performance measures and actions.
- Owner reporting under each management agreement, on the agreed schedule.
- Regular review of compliance, insurance and licence renewals.
- Approval limits for expenses, price changes and capital spending set by management.

# Appendix A: Pilot Site Screening Checklist

| Check | Result / note |
|---|---|
| Title and lease documents reviewed | |
| Existing permits and licences verified | |
| Tanks tested and capacities confirmed | |
| Pumps and dispensers inspected, calibration status known | |
| Electrical and fire safety inspected | |
| Drainage and spill history reviewed | |
| Traffic count and competitor review complete | |
| Supply source and delivery route confirmed | |
| Repair list and cost estimate prepared | |
| Security and utilities assessed | |
| Legal review of agreement complete | |



# Appendix B: Information Needed to Complete the Financial Forecast

- Confirmed location and operating model.
- Signed or draft lease, supply or management agreement.
- Supplier price quotations and payment terms.
- Expected daily litres by product, with evidence from traffic and competitor review.
- Staffing plan and salary costs.
- Utility, security, repair, insurance and licence costs.
- NFR concept and expected sales.
- Funding sources and any financing terms.
- Tax advice and accounting treatment.